

AGENDA STATEMENT

City of Bellaire

MEETING: City Council - Apr 15 2024

PREPARED BY: Melanie Glaze

DEPARTMENT: Human Resources

ITEM TITLE:

Workshop to discuss the results of the employee classification and compensation studies conducted by Paypoint HR, LLC - Submitted by Melanie Glaze, Director of Human Resources.

RECOMMENDATION:

Melanie Glaze, Director of Human Resources, recommends that City Council conduct the workshop.

BACKGROUND/SUMMARY:

On October 27, 2023, the City of Bellaire engaged Paypoint HR, LLC ("Paypoint") to conduct a classification study and total compensation study for the City. Paypoint completed the studies and will be presenting its findings to City Council for consideration and discussion.

PREVIOUS COUNCIL ACTION:

None.

FISCAL IMPACT:

None.

CITY ATTORNEY REVIEW:

☐

Yes

☒

No

City of Bellaire

Compensation Study and Classification Study

Background

Key reasons the Compensation Study and Classification Study were completed.

- **Market Alignment:** Ensuring the City's compensation structure is in line with industry standards and trends.
- **Equity and Fairness:** Evaluating internal pay equity to ensure fairness across all positions and levels within the City.
- **Retention and Recruitment:** Enhancing the ability to attract and retain top talent by offering competitive compensation packages.
- **Employee Satisfaction:** Addressing concerns regarding compensation and classification to boost employee morale and satisfaction.

Scope of Work

Classification Study

- Establish appropriate benchmarking standards and conduct classification/salary surveys as needed for similar positions with comparable Texas municipalities and relevant private employers.
- Review current classification grade methodology and proposed recommended strategies for the City.
- Draft updated job descriptions.
- Provide straightforward, easily understood, electronic maintenance system that the Human Resources Department will use to keep the classification system current and equitable.

Scope of Work

Compensation Study

- Review current compensation plan and understand current challenges in recruiting and retaining employees.
- Recommend comparable labor markets, including both private and public sector employers for total compensation (compensation and benefits) study.
- Analyze benefits data to provide a comparison of total compensation for Bellaire and comparators.
- Recommend an appropriate salary range for each position based on the classification plan, the compensation survey results, and the internal relationships and equality. Prepare a new salary structure based on the results of the survey and best practices.

Results of Study

- Salaries are just below 50% of market.
- Medical benefits are competitive today but should be evaluated.
- Retirement benefits are competitive.
- Leave benefits are competitive but room for growth.

How Did We Reach These Results

INTRODUCTION: Dr. Rick Campbell, CCP, with Paypoint HR.

- Ph.D. in Engineering Science and Mechanics, Penn State University, Bachelor of Science in Applied Mathematics, University of Virginia, Certified Compensation Professional (CCP), WorldatWork.
- Dr. Rick Campbell's extensive education and experience in the field of mathematics has enabled him to understand highly technical issues. Because he has managed both internal and external clients, he has developed the ability to take the most advanced problems and convert them into easily understood terms and processes. He has applied this experience to the field of compensation and classification for the past 10 years.
- He has worked for NASA GSFC, GE Aircraft, and Lockheed Martin Space Systems among others. His roles included Team Lead, Project Manager and Principal Engineer. Dr. Campbell holds 7 U.S. and international patents for his creative ideas on product and process improvement. Rick has experience with Lean Six Sigma for both service organizations and manufacturing organizations. He brings his unique skills to Paypoint HR to improve the accuracy of our research findings and recommendations.

City of Bellaire

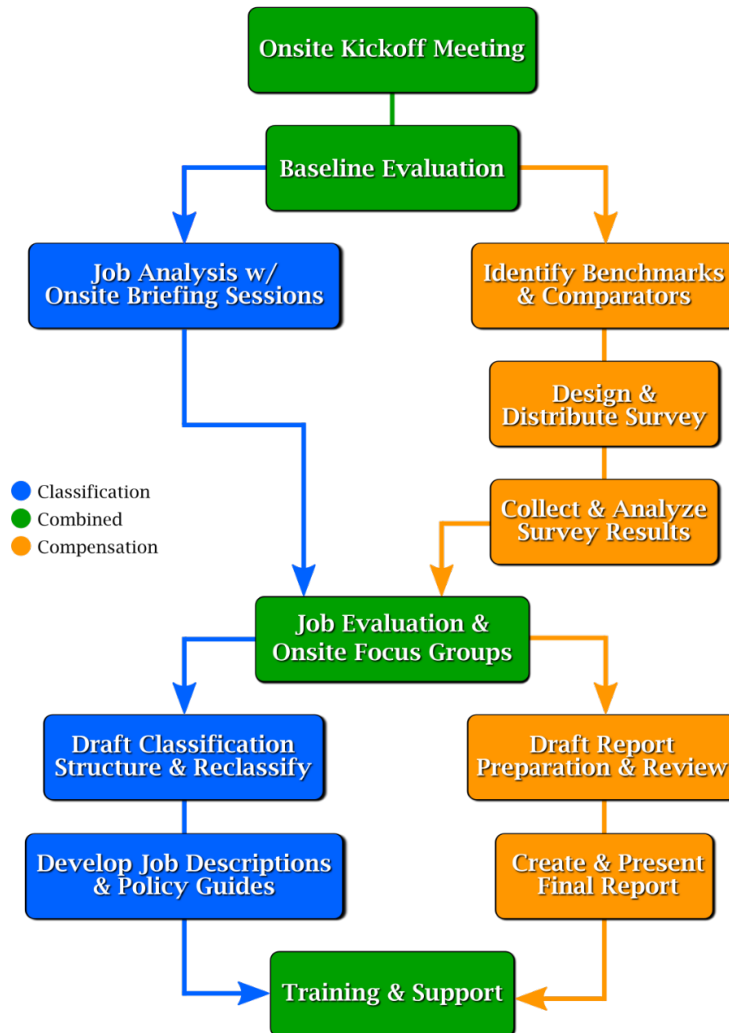
Classification and Total Compensation Study

Presentation Outline

1. Project Approach
2. Comparators
3. Compensable Factor Score
4. External Market
5. Recommendations
6. Conclusion

1. Project Approach

Project Approach



Yardstick 1 - Compensation
External Market

Yardstick 2
Org Structure

Yardstick 3 - Classification
Knowledge, Skills
& Abilities -
Internal Equity

Internal Equity Yardstick (Classification)

- Engaged employees and managers with job analysis questionnaires to better understand (beyond what is contained in job descriptions) the knowledge, skills, and abilities required for each position. Manager reviews served as a checks and balance for the process.
- The 9 compensable factors from the questionnaires (education, impact, supervision, etc.) were used to create the first yardstick.

External Competitiveness Yardstick (Compensation)

- Comparator organizations were selected that are socio-economically similar to Bellaire. [As percentiles are used rather than average, single responses do not falsely skew results.]
- Surveys distributed to comparators that included a brief summary of the requirements of the position at Bellaire to ensure an apples-to-apples comparison.
- Results of the market survey were used to develop the second yardstick.

Org Structure Yardstick

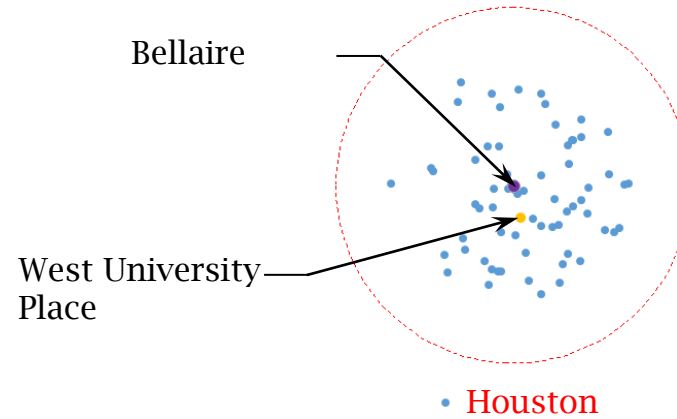
- In consultation with the project team, a third yardstick was developed that considered the organizational structure of Bellaire (directors, managers, supervisors, leads, etc.).

Final step was to statistically combine the three independent measures/yardsticks to develop a comprehensive understanding of what fair pay looks like for Bellaire.

2. Comparators

Comparators Factors

- Population
- Median Monthly Homeowner Cost
- Median Real Estate Taxes
- Median Household Income
- Cost of Living Adjustment
- Population in Poverty



Respondents (24)

Alvin	Angleton	Brenham	Conroe
Farmers Branch	Friendswood	Fulshear	Highland Park
Humble	Huntsville	Katy	Lake Jackson
League City	Pearland	Plano	Richmond
Rosenberg	Seabrook	Stafford	The Woodlands
Tomball	University Park	Webster	West University Place

3. Compensable Factor Score

Position Vantage Point

Duties and Responsibilities (to identify major duties and responsibilities)

EXAMPLE

Percent of time spent
40%

Priority (Select one)
Essential ☒
Very important ☐
Important ☐
Somewhat important ☐
Marginal ☐

Result Expected of the Work
Payroll administration for the maintenance department

Tasks Required to Achieve Result
Collecting payroll information from department employees on a weekly basis; reviewing the collected information to make sure that it is complete; forwarding all appropriate documentation (timecards, requests for time off, etc.) to the business office for processing.

Task 1

Percent of time spent

Priority (Select one)
Essential ☐
Very important ☐
Important ☐
Somewhat important ☐
Marginal ☐

Result Expected of the Work

Tasks Required to Achieve Result

Task 2

Percent of time spent

Priority (Select one)
Essential ☐
Very important ☐
Important ☐
Somewhat important ☐
Marginal ☐

Result Expected of the Work

Tasks Required to Achieve Result

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Position Vantage Point

Note: Answer each question independent of any preceding questions. For example: a position that often involves complex and diversified tasks may also involve routine or repetitive tasks. Enter 1 to 5, 1 = Strongly Disagree with the statement to 5 = Strongly Agree.

Strongly Disagree	Somewhat Disagree	Neither Agree Nor Disagree	Somewhat Agree	Strongly Agree
1	2	3	4	5

Complexity (Answer all that apply)

☐ Question 1: This position involves routine or repetitive tasks, processes, or operations requiring the application of well-defined rules, procedures, policies, guidelines, and/or instructions.

☐ Question 2: This position involves generally standardized tests, processes, or operations requiring the choice of action within well-defined rules, procedures, policies, guidelines, and/or instructions.

☐ Question 3: This position involves generally diversified tasks, processes, or operations requiring the choice of action within well-defined rules, procedures, policies, guidelines, and/or instructions.

☐ Question 4: This position involves occasional (16% - 40%) complex and diversified tasks, processes, or operations requiring the development of rules, procedures, policies, guidelines, and/or instructions.

☐ Question 5: This position involves frequent (41% - 70%) complex and diversified tasks, processes, or operations requiring the development of rules, procedures, policies, guidelines, and/or instructions.

Independence (Answer all that apply)

☐ Question 1: My position primarily involves detailed work instructions with close supervisory review.

☐ Question 2: My position primarily involves detailed work instructions with regular supervisory review.

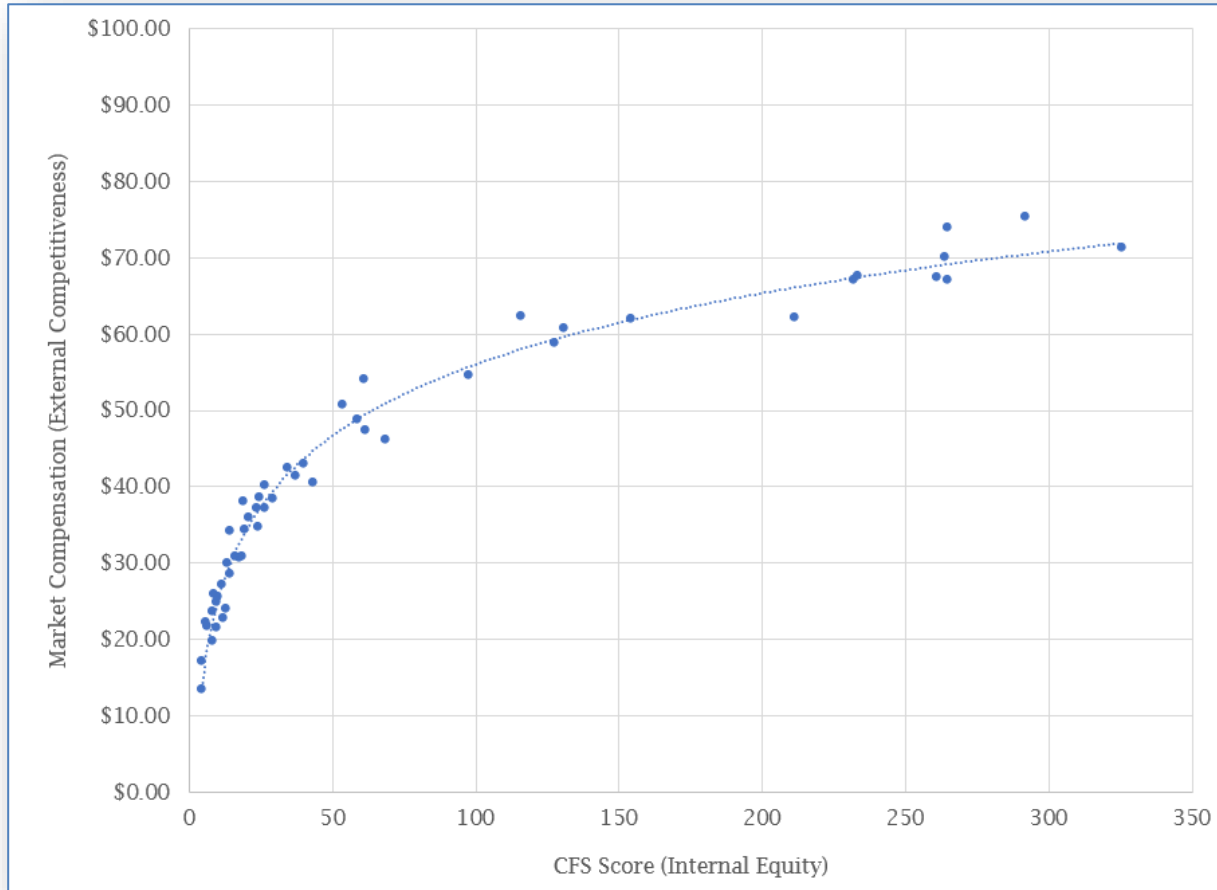
☐ Question 3: My position primarily involves general work instructions with regular supervisory review.

☐ Question 4: My position primarily involves broad latitude on work tasks with regular supervisory review.

☐ Question 5: My position primarily involves broad latitude on work tasks with minimal supervisory review.

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Job Analysis Questionnaire for understanding job responsibilities and internal equity.



97% Correlation between CFS Score (Internal Equity) and Market Compensation (External Competitiveness)

4. External Market

50th Percentile

Each job title was examined relative to the 50th percentile of the market. In other words, the strategic goal: 50% of the market pays more than Bellaire does, 50% pay less for each position.

Department	# of Job Titles Affected	50% Percentile Market Position
City Clerk's Office		N/A
City Manager's Office	2	2.9% below market
Development Services	1	1.7% above market
Finance	2	0.5% above market
Fire	4	2.2% below market
Human Resources	0	0.7% below market
Information Technology	0	3.3% below market
Library	3	3.5% below market
Parks, Recreation, and Facilities	9	1.4% below market
Police	9	1.1% below market
Public Works	5	0.2% above market
Average		0.9% below market

Employee Focus Groups

Key Takeaways from Employee Concerns and Suggestions

1. Job Descriptions and Position Review:

- Updates needed for clarity and to better set expectations.
- Select positions require review for possible reclassification / reassignment.

2. Establishment of Citywide Goals and Values:

- Input from staff required for setting citywide goals, mission, vision, and core values.
- Current service level expectations are exceptionally high compared to peers.
- Consistent communication of goals citywide suggested.
- Goals should be tied to performance metrics for meaningful impact.

3. Economic and Financial Considerations:

- Local economy thriving with high home values.
- Limited zoned areas for business.
- Need for commercial development to boost revenue.
- Non-profit tax-exempt entities owning large land parcels.
- Rising living costs affecting staff residency & commutes.
- Increase fees and taxes for infrastructure sustainability.

4. Regulatory Compliance and Enforcement:

- Adherence to and enforcement of regulations critical.
- Impact of state and federal regulations on city resources highlighted.
- City ordinances require careful planning and drafting for enforceability

Employee Focus Groups page 2

4. Culture and Support:

- Positive internal culture; described as improving with a "family" feel.
- Strong public support with substantial citizen contributions.
- Value seen in tools, technology, and facility improvements. Need for improved facilities in Public Works, Library, and Parks. Fleet improvements suggested. More timely availability of common tools & equipment.
- Address staffing levels, SOPs, and training needs.
- Allow staff to expand public education of services.

5. Career Development & Compensation:

- Currently limited career growth due to organizational structure.
- Suggest additional job levels with desire for recognition of certifications and responsibilities.
- Need for departmental administrative support.
- Issues with compensation step plan adherence, pay compression, and COLA increases.
 - Lack of step increases impacting morale and turnover.
 - Pay compression affecting tenured staff.
 - Desire for recognition based on performance; sporadic COLA increases not keeping up with inflation.

Benefits

- Bellaire's employer contributions for health and vision premiums are above the local market.
- The City's contributions for dental premiums align with local market standards.

Group	Employer Contributions to Premiums					
	Health		Dental		Vision	
	Single	Family	Single	Family	Single	Family
Bellaire	100%	76%	100%	0%	100%	100%
Market Median	100%	56%	100%	0%	50%	0%

- Bellaire's employees pay a lower percentage to health insurance premiums compared to the market median percentage. Giving the City a competitive edge. However, there was concern from employees regarding high out-of-pocket limits.

Group	Employee Contributions to Premiums					
	Health		Dental		Vision	
	Single	Family	Single	Family	Single	Family
Bellaire	0%	24%	0%	100%	0%	0%
Market Median	0%	44%	0%	75%	50%	0%

Health Coverage

- During employee focus groups, there was concern from employees regarding high out-of-pocket limits for out of network and higher deductibles for in network. The market data shows Bellaire's plan has higher in network deductibles however the out of pocket is lower for the in network. The out of network deductible and out of pocket limits are higher than the market.

Factor	Network	Level	Market Median	Bellaire
OOP	In Network	Single	\$5,000	\$3,500
		Family	\$10,000	\$7,000
	Out of Network	Single	\$6,750	\$30,000
		Family	\$18,000	\$90,000
Deductible	In Network	Single	\$3,000	\$3,200
		Family	\$5,400	\$6,400
	Out of Network	Single	\$4,500	\$15,000
		Family	\$9,000	\$45,000
Factor	Network	Level	Market Median	Bellaire
Co-Pays	In Network	Single	\$25	\$25
		Family	\$25	\$25
	Out of Network	Single	50%	No benefit
		Family	50%	No benefit

Pension

- Bellaire's alignment with the Texas Municipal Retirement System (TMRS) offers employees security and flexibility in retirement planning, with the city's 2:1 contribution ratio reinforcing commitment and loyalty.
- A 457(b) Deferred Compensation Plan is commonly offered by the market comparators and is offered by 92% of the market respondents.
- Bellaire's offering of a Health Savings Account (HSA), which is associated with high-deductible health plans and is utilized by 62% of market respondents, serves as a competitive healthcare option.
- One respondent reported offering a Health Reimbursement Arrangement (HRA) to help offset costs of medical expenses after retirement.

Retirement Benefits	% offered by Market Respondents	Offered by Bellaire
457	92%	√
HRA	8%	—
HSA	62%	√

Leave

- Bellaire's vacation leave accrual policy benefits new hires.
- Bellaire vacation leave lags the market for more senior staff and may be an area of improvement to attract and retain experienced personnel.
- Personal leave is offered at other organizations and is a possible area of improvement.
 - Bellaire could survey employees to consider introducing a paid time off (PTO) policy that combines sick and vacation leave into one leave balance. It is offered by 31% market respondents and employees expressed interest during focus groups.

Days of Annual Leave Accrual				
Leave Type	Respondents Median		Bellaire Median of Employee Groups/CBAs	
	New Hire	Senior Staff	Minimum	Maximum
Vacation	10	25	12	23
Sick	12	12	12	12
Personal	2.5	3	3*	3*
Comp-Time	5	5	As Earned	40 hours 120 hours Fire

* Bellaire offers 3 Floating Holidays that employees can use during the year. This is a form of PTO.

5. Recommendations

General Salary Range

- 7.5% between grades
- Min to Max - 45% spread (45.0% market average)
- Minimum wage at \$15.00
- Range Scale
 - Easier to move employees through range based on budget
 - Easier to reward top performers
- Ranges for Police (2184-hr), Police (2080-hr), Communications (2184-hr), Fire (2756-hr), and Fire (2080-hr) also developed based on their respective markets.

Grade	Min	Mid	Max
B01	\$15.00	\$18.38	\$21.75
B02	\$16.13	\$19.75	\$23.38
B03	\$17.33	\$21.23	\$25.13
B04	\$18.63	\$22.83	\$27.02
B05	\$20.03	\$24.54	\$29.05
B06	\$21.53	\$26.38	\$31.22
B07	\$23.15	\$28.36	\$33.57
B08	\$24.89	\$30.49	\$36.08
B09	\$26.75	\$32.77	\$38.79
B10	\$28.76	\$35.23	\$41.70
B11	\$30.92	\$37.87	\$44.83
B12	\$33.23	\$40.71	\$48.19
B13	\$35.73	\$43.77	\$51.80
B14	\$38.41	\$47.05	\$55.69
B15	\$41.29	\$50.58	\$59.87
B16	\$44.38	\$54.37	\$64.36
B17	\$47.71	\$58.45	\$69.18
B18	\$51.29	\$62.83	\$74.37
B19	\$55.14	\$67.54	\$79.95
B20	\$59.27	\$72.61	\$85.94
B21	\$63.72	\$78.05	\$92.39
B22	\$68.50	\$83.91	\$99.32

Salary Recommendations – 50th Percentile Range Plan (estimate) **118 positions, \$333,969**

1. Raise the salary of 78 positions that are below grade minimum, first, at a cost of \$103,205.
2. Raise the salary of 18 positions that are substantially below market, second, at a cost of \$99,305.
3. Raise the salary of 22 positions that are below market, third, at a cost of \$131,459.

6. Conclusion

STAFF RECOMMENDATIONS

- Adjust pay to ensure employee compensation is benchmarked to 50% of market (\$333,969 budget impact). Does not include city benefit and retirement contributions.
- Adopt a range pay plan to reduce compression, retain great employees, and improve morale.
- Annually budget a merit pool based on city finances, with a separate COLA based on established formula.
- Create job families for employee development, retention, and compensation transparency.
- Issue an RFP for medical benefits and evaluate premiums and copays to ensure they stay competitive.
- Offer benefits that improve morale with negligible/no impact on customer service and budget (examples: floating holidays, scheduled closures, flexible work schedules, remote work).
- Focus on organizational health and workplace culture.
 - Establish purpose statement and core values.
 - Hire for and award merit pay based on demonstrated commitment to core values.